

THE REASONS FOR A MERGER...

Why HDFC and HDFC Bank decided to come together



After the IL&FS imbroglio, the Reserve Bank of India (RBI) was uncomfortable with large NBFCs, and a working group suggested they be converted into banks



Scale-based regulations put HDFC Ltd in the top bracket for monitoring, inspection and regulations; plus, it ran the risk of losing its HFC status as its housing assets were at 58 per cent of total assets, against a minimum requirement of 60 per cent by 2024



Possible bank-like regulations for NBFCs, like capping of CEO's tenure, etc.; they are required to implement core banking solutions, akin to banks; also, the liquidity coverage ratio (LCR) for 30-day redemption is set to rise to 100 per cent in December 2025, from 50 per cent in December 2021



NBFCs will also have to deal with risk-based internal audits, while they have higher capital adequacy requirements than banks



For banks, the combined CRR and SLR requirement of 22 per cent is less burdensome for a merger, compared to 27 per cent earlier

...AND THE CHALLENGES AHEAD

The difficulties in the path to a merger



The combined entity's balance sheet will have increased CRR and SLR requirements



Margins likely to be compressed in the short- to medium term



The bank's CASA ratio will fall from 46 per cent to 37 per cent



RBI's permission is awaited on whether HDFC Bank can retain HDFC Ltd's stake in the insurance business or can hold a higher stake



There is a possibility that the RBI will insist on a non-operative financial holding company structure

ments," says an HDFC official who chose to remain anonymous. The total liquidity requirement for HDFC then would go up to ₹70,000-80,000 crore. Higher liquidity levels mean losing out on the profitable deployment of funds for a short period, which impacts profitability and returns to shareholders.

Then there's the matter of recognising non-performing assets (NPA). Earlier, NBFCs would classify a loan as an NPA only when it wasn't serviced for 180 days. But according to the RBI's new framework, a loan has to be classified as an NPA if it is not serviced for more than 90 days, which puts the norm on a par with that of banks. There's more. Under banking regulations, if a borrower has crossed the 90-day default period, the account cannot be upgraded to a standard asset till the borrower clears all dues. Earlier, in the case of NBFCs, if a borrower had crossed the 90 days of default and paid some amount to bring the balance down, then the loan account wasn't treated as an NPA. Not anymore. "This regulatory gap has been plugged," says a consultant. HDFC, which has implemented the new guidelines, has witnessed a rise in its gross NPAs to 2.32 per cent of total advances in the quarter ending December 2021 as compared to 2 per cent in the previous quarter. "This new norm will not only increase the NPAs and the provisions, but also impact profitability going forward," says an NBFC player.

The other challenge HDFC faced was the threat of losing its status as an HFC. In February last year, RBI came up with two conditions for HFCs: First, a minimum of 60 per cent of total assets (not loans) should be directed towards providing housing finance. Second, a minimum of 50 per cent of assets should be under housing finance for individuals by March 2024. HDFC's loan book shows a break-up of 79 per cent loans for housing, 5 per cent for corporate, 9 per cent for construction finance and 7 per cent for lease rentals. But the RBI's guidelines require HDFC to maintain a minimum of 60 per cent (housing finance) and 50 per cent (individual housing loans) based on the total assets of the HFC, and not on the loan book (where the percentage share is higher). By that yardstick, HDFC currently is at 58 per cent and 54 per cent, respectively. "If you see our loan book and assets on our balance sheet, there is a difference of about ₹1 lakh crore because of investments in government securities, investments in subsidiaries and mutual funds for liquidity and LCR purposes," explains the official quoted earlier. In order to meet the new guidelines, the options before HDFC were to increase the size of the housing assets or reduce the total assets on its balance sheet. In the long run, the new guidelines would have restricted future investments in new non-mortgage businesses.

Many experts suggest that the new scale-based regu-